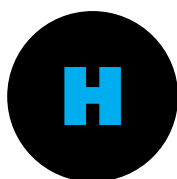




PHOTO BY **MANDAR DEODHAR**



ABIL KHORAKIWALA HAS seen more than his fair share of ups and downs in the nearly 60 years since he founded the Mumbai-based pharmaceuticals company Wockhardt in 1967. But even so, the closure of the company's US-based manufacturing facility at Morton Grove, Illinois, last year marked a significant shift.

Once known for its painkiller Proxyvon and blood pressure medications in the 1990s (the business was later sold to Dr. Reddy's Laboratories) and being one of the first companies outside the US and Europe to manufacture recombinant human insulin, Wockhardt continues to grapple with financial challenges.

In the 1990s and 2000s, the company made a clutch of acquisitions, one of the reasons why its debt ballooned. A decade later, it was caught on the wrong foot when the financial crisis hit because of investments in deriva-

WHAT AILS WOCKHARDT?



FINANCIAL PERFORMANCE

WOCKHARDT HAS EXPERIENCED FLUCTUATING REVENUES AND PERSISTENT LOSSES OVER THE PAST DECADE



REGULATORY ISSUES

THE US FDA HAS ISSUED MULTIPLE WARNINGS AND IMPOSED RESTRICTIONS ON ITS PLANTS, IMPACTING GROWTH AND MARKET ACCESS



DEBT AND COSTLY ACQUISITIONS

THE COMPANY'S AGGRESSIVE ACQUISITION STRATEGY IN THE LATE 1990s AND 2000s LED TO SUBSTANTIAL DEBT, PEAKING AT APPROXIMATELY ₹3,800 CRORE



FINANCIAL CRISIS

EXPOSURE TO COMPLEX DERIVATIVES DURING THE 2008 FINANCIAL CRISIS FORCED THE COMPANY TO RESTRUCTURE CORPORATE DEBT AND DIVEST ASSETS LIKE ITS NUTRITION BUSINESS AND PARTS OF ITS HOSPITAL CHAIN